

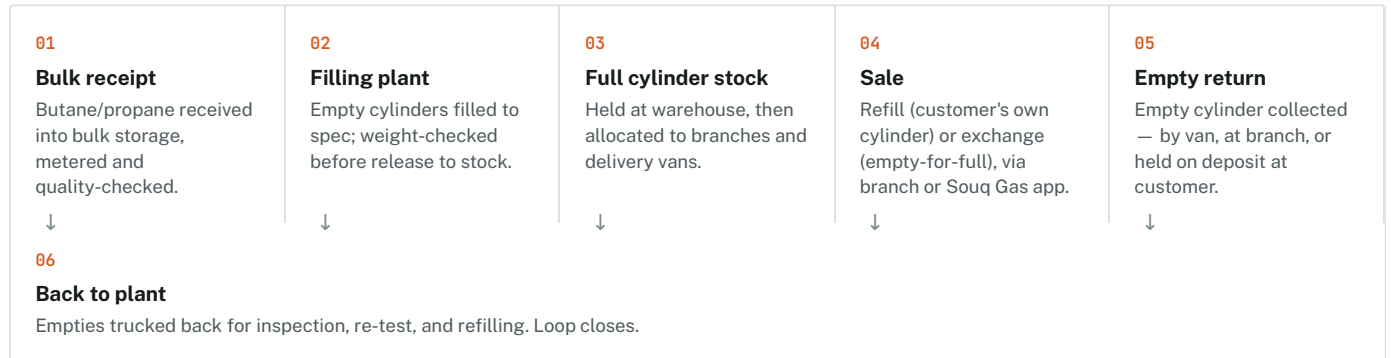
LPG CYLINDER INVENTORY & FINANCE SOPS

Standard operating procedures for bulk gas, cylinder filling, refill and exchange sales, the **Souq Gas** mobile app order-to-cash cycle, deposit liability management, and month-end close — written for Best Gas's cylinder-as-inventory model.

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EFFECTIVE DATE 7 August 2026	CURRENCY / VAT SAR · 15% VAT
OWNER Finance & Inventory Control	APPLIES TO Plants, branches, vans, app
REVIEW CYCLE Annual, or on process change	RELATED SYSTEM Nana Financials · Souq Gas

THE LPG VALUE CHAIN, IN ONE LOOP

Best Gas does not sell gas in a straight line from plant to customer — it sells gas in a **loop**. The cylinder that leaves the plant full comes back empty, gets refilled, and leaves again. Every SOP in this manual exists to keep that loop financially visible at every point: in the plant, on the van, inside the Souq Gas app, and at the customer's door.



00.1 WHY THE CYLINDER IS INVENTORY, NOT A FIXED ASSET

Most gas distributors capitalise cylinders as property, plant & equipment and depreciate them over a useful life. Best Gas does not — deliberately. A cylinder in this business behaves like inventory, not equipment: it is manufactured in bulk to a standard spec, held in stock at multiple locations, moves through the business at high velocity (tens of thousands of movements a month), is costed per unit, and is regularly scrapped, replaced and revalued rather than depreciated on a fixed schedule. Treating it as inventory is also what makes the accounting mirror physical reality — a cylinder is never really "used up" by one customer; it just changes state between **full** and **empty** and changes location, exactly like a returnable container in a deposit-based FMCG model.

This has one practical consequence that every SOP below is built around: **the gas and the cylinder are two separate inventory components fused into one physical unit**. The gas is a consumable that is sold and must be replaced. The cylinder is a durable container that is rented, not sold, and must be tracked and recovered. Splitting them this way is what lets Finance answer, on any given day: how much gas do we have in stock, how many cylinders do we have in stock, and how many cylinders are sitting outside our four walls but still on our books because a customer is holding them against a deposit.

INVENTORY STRUCTURE & CHART OF ACCOUNTS

Every SOP in this manual posts against the same skeleton of sub-inventories and accounts. Get this right once, and the transaction SOPs become mechanical.

01.1 SUB-INVENTORY LOCATIONS

LOCATION CODE	DESCRIPTION	HOLDS	OWNER
BULK-01	Bulk storage tanks, plant	Butane / propane, in kg, pre-filling	Plant Manager
WIP-FILL	Filling line, in-process	Cylinders mid-fill, not yet QC-released	Filling Supervisor
FG-FULL-WH	Central warehouse, full goods	Full cylinders, QC-passed, available to promise	Warehouse Keeper
FG-FULL-VAN	Delivery van, per driver	Full cylinders loaded for today's route	Driver (custodian)
EMPTY-WH	Central warehouse, empties	Empty cylinders awaiting return to plant	Warehouse Keeper
EMPTY-VAN	Delivery van, per driver	Empty cylinders collected on route, not yet offloaded	Driver (custodian)
CUST-DEPOSIT	Memo location — not a warehouse	Cylinders (full or empty) physically with customers under deposit	Inventory Control (register)
HOLD-COND	Condemned holding cage	Cylinders failed QC / hydrostatic re-test, pending scrap	Plant Manager

WHY CUST-DEPOSIT MATTERS

A cylinder at a customer's home is **still Best Gas inventory** — the customer owns the gas they last paid for, not the steel. CUST-DEPOSIT is a quantity register, not a valued warehouse: it lets Inventory Control reconcile "cylinders we can't see" against "deposits we're holding," without a cash value sitting in a phantom location. See SOP-08.

01.2 ITEM MASTER — THE TWO-COMPONENT MODEL

Every cylinder SKU in Nana Financials is set up as a **kit of two components** so gas and steel can be costed, moved and reported independently, even though they travel together physically.

SKU	COMPONENT	COSTING METHOD	TYPICAL UNIT COST (SAR)	MOVES WITH
CYL-12-BUT	12 kg cylinder, butane, domestic	Standard cost, revalued annually	62.00	Physical steel unit
CYL-22-BUT	22 kg cylinder, butane, commercial	Standard cost, revalued annually	104.00	Physical steel unit
CYL-48-PRO	48 kg cylinder, propane, catering/industrial	Standard cost, revalued annually	238.00	Physical steel unit
GAS-BUT-BULK	Butane, bulk	Weighted average, per kg	1.38 /kg	Fill content of any cylinder
GAS-PRO-BULK	Propane, bulk	Weighted average, per kg	1.61 /kg	Fill content of any cylinder

A finished "full 12 kg cylinder" therefore carries a blended on-hand value of SAR 62.00 (steel) + 12×1.38 = SAR 16.56 (gas) = SAR 78.56. When it is sold as an exchange, the gas component leaves as COGS; the steel component does not leave the balance

sheet at all — it simply reclassifies from FG-FULL to CUST-DEPOSIT. This split is what SOP-04 and SOP-05 turn on.

01.3 ILLUSTRATIVE CHART OF ACCOUNTS

ADAPT, DON'T ADOPT

Codes below are illustrative for this manual's journal-entry examples. Map them to Best Gas's live Nana Financials GL before go-live; do not create parallel accounts.

CODE	ACCOUNT	TYPE
1301	Bulk LPG — Butane, in storage	Inventory (asset)
1302	Bulk LPG — Propane, in storage	Inventory (asset)
1310	Filling plant — WIP	Inventory (asset)
1320	Full cylinders — warehouse	Inventory (asset)
1321	Full cylinders — van stock	Inventory (asset)
1330	Empty cylinders — warehouse	Inventory (asset)
1331	Empty cylinders — van stock	Inventory (asset)
1332	Cylinders with customers (deposit-tracked steel)	Inventory (asset)
1340	Condemned cylinders — holding	Inventory (asset), fully provided
1410	VAT input receivable	Asset
2210	Customer cylinder deposits — liability	Liability
2211	Souq Gas wallet / prepaid balance	Liability
2410	VAT output payable (15%)	Liability
4001	Revenue — LPG refill	Revenue
4002	Revenue — cylinder exchange (gas component)	Revenue
4003	Revenue — new cylinder sale / upgrade	Revenue
4009	Deposit forfeiture income	Other income
5001	COGS — bulk gas consumed	Expense
5002	Filling loss / shrinkage	Expense
5003	Cylinder obsolescence & scrap provision	Expense
5004	Van cash / stock variance — write-off	Expense

BULK LPG RECEIVING & STORAGE

✓ CONTROL POINT • GRN MATCH

Bulk gas is Best Gas's raw material. Every tanker delivery must be metered, quality-checked and three-way matched before it is recognised in inventory — this is the single largest cash outflow in the business and the highest-value control point upstream of any sale.

1.1 PROCEDURE

1. Tanker arrives at plant; driver presents supplier delivery note and calibrated tanker dip/meter reading.
2. Plant Operator verifies seal integrity, takes an independent dip reading of the receiving tank pre- and post-discharge, and records ambient temperature (LPG volume is temperature-sensitive; convert to standard temperature basis before comparing to the delivery note).
3. Quality check: sample density/composition against supplier certificate of analysis. Reject and quarantine the load if it fails spec — do not discharge into a tank holding good stock.
4. Goods Received Note (GRN) raised in Nana Financials for the metered received quantity (not the invoiced quantity) against the open purchase order.
5. Inventory Control books the receipt into 1301/1302 at PO price; variance versus supplier invoice is held in a GRN clearing account pending three-way match (PO ↔ GRN ↔ invoice).
6. Volume variance between tanker delivery note and receiving-tank dip is calculated immediately. Variance beyond tolerance triggers the exception path below before the driver leaves site.

1.2 TOLERANCE & EXCEPTION HANDLING

VARIANCE (DELIVERY NOTE VS. RECEIVED)	ACTION	APPROVAL
≤ 0.3%	Within spec Post as received	Plant Operator
0.3%–1.0%	Investigate Re-dip, check temperature correction, log root cause	Plant Manager
> 1.0%	Ho!d Quarantine load, notify supplier, do not release tanker without joint sign-off	Plant Manager + Procurement

1.3 JOURNAL ENTRY — BULK RECEIPT

Bulk butane receipt, 20,000 kg @ SAR 1.38/kg			REF GRN-88231
1301	Bulk LPG – Butane, in storage	27,600.00	
1410	VAT input receivable	4,140.00	
2110	GRN clearing / accrued payable		31,740.00

CYLINDER FILLING PLANT OPERATIONS

Filling is the moment an empty cylinder and bulk gas fuse into a sellable unit. Financially, it is an inventory transformation — gas moves out of bulk storage, the empty cylinder moves out of empty stock, and a full cylinder is born in WIP until it clears quality control.

2.1 PROCEDURE

1. Empty cylinders are visually inspected and weighed for tare before loading onto the filling line. Any cylinder with corrosion, valve damage, or a hydrostatic test due date in the past is pulled to HOLD-COND — see SOP-03.
2. Filling line dispenses gas by mass (tare weight + rated fill weight = target gross weight), not by volume. Automatic cut-off at target weight, with an in-line check-weigher rejecting any cylinder outside tolerance.
3. Overweight or underweight rejects are routed to a rework station, not to stock — a cylinder never reaches FG-FULL-WH without passing the check-weigher.
4. QC releases the batch: Nana Financials records a transfer from EMPTY-WH + BULK into FG-FULL-WH, valuing the output at steel standard cost + (rated fill weight × weighted-average gas cost).
5. Filling loss (gas vented during connection/disconnection, line purge, rejects scrapped) is captured as the balancing figure between gas consumed from bulk and gas actually loaded into released cylinders.

2.2 FILLING LOSS THRESHOLD

Target filling loss is $\leq 0.8\%$ of gas throughput per shift. A shift that exceeds 1.5% is stopped for line inspection before the next batch starts — this is a safety trigger as much as a financial one, since abnormal loss usually means a leaking connection.

2.3 JOURNAL ENTRY — FILLING BATCH RELEASED TO STOCK

Batch of 500 × 12 kg cylinders filled, butane			REF BATCH-4471
1320	Full cylinders – warehouse (500 × SAR 78.56)	39,280.00	
1330	Empty cylinders – warehouse (500 × SAR 62.00)		31,000.00
1301	Bulk LPG – butane (6,000 kg incl. loss × SAR 1.38)		8,280.00
5002	Filling loss / shrinkage (48 kg loss × SAR 1.38)	66.24	
1301	– loss backed out of gas consumed above		0.00
Balanced		39,346.24	39,346.24

Note: the loss line is illustrative of how shrinkage is split out for management reporting; system posting logic nets it within the transfer depending on Nana Financials' costing engine configuration.

NEW CYLINDER REGISTRATION & CONDEMNATION

New cylinders enter the pool as inventory purchases, not capex. Each unit is serialised on receipt and tracked for its entire life — including the day it dies.

3.1 NEW CYLINDER RECEIPT & REGISTRATION

1. New cylinders received from the manufacturer are booked to EMPTY-WH at standard cost — **never to a fixed asset account**, regardless of unit value, per the inventory policy in Section 00.1.
2. Each cylinder is laser-etched / tagged with a serial number and QR code before it enters circulation, and logged in the cylinder register with size, gas type, manufacture date, and first hydrostatic test date.
3. The QR code is what the Souq Gas driver app and warehouse scanners read at every subsequent movement — this is the backbone that makes SOP-06 and SOP-08 possible.

3.2 CONDEMNATION & SCRAP

A cylinder is pulled from circulation to HOLD-COND when it fails visual inspection, fails the check-weigher tare check, or reaches its statutory hydrostatic re-test date without passing re-test (typically every 5 years for LPG cylinders under GCC standards).

Condemned units are batch-scrapped monthly:

Scrap of 40 condemned 22 kg cylinders			REF SCRAP-0142
5003	Cylinder obsolescence & scrap provision	4,160.00	
1340	Condemned cylinders – holding (40 × SAR 104.00)		4,160.00

CONTROL POINT

Scrap disposal requires a signed destruction certificate (cut/punctured cylinder photo evidence) attached to the scrap batch in Nana Financials before the journal posts. This prevents "scrapped" cylinders from quietly re-entering circulation without gas being sold through the books.

REFILL SALE — CUSTOMER'S OWN CYLINDER

In a refill, the customer already owns (or already holds on deposit) the cylinder. Best Gas sells **gas only** — no deposit liability is created or released. This is the simplest and highest-margin transaction type, and the one most exposed to under-fill fraud if the weigh-in step is skipped.

4.1 PROCEDURE — BRANCH OR PLANT COUNTER

1. Customer presents empty (or partially full) cylinder. Attendant scans the cylinder QR code — if the serial is not in the Best Gas register (a competitor's cylinder), refill is refused per safety policy; only Best Gas-owned cylinders are refilled.
2. Cylinder is weighed empty (tare) before filling and full (gross) after — the difference is the billable kg, not a flat "one refill" price, so the customer is charged for exactly what went in.
3. Sale rung up in POS/Nana Financials: revenue = kg filled × price per kg (or the published flat-rate refill price where regulated), plus 15% VAT.
4. Payment collected (cash, card, or Souq Gas wallet balance if the refill was pre-booked through the app).

4.2 JOURNAL ENTRY — WALK-IN REFILL, 12 KG BUTANE

Refill sale, 12 kg butane, cash			REF POS-220481
1010	Cash / POS clearing	50.00	
4001	Revenue — LPG refill		43.48
2410	VAT output payable (15%)		6.52
5001	COGS — bulk gas consumed (12 kg × SAR 1.38)	16.56	
1301	Bulk LPG — butane, in storage		16.56

FRAUD CONTROL

The single highest-frequency loss event in refill operations is billing a flat price while under-filling the cylinder. The pre-/post-weigh-in must print on the customer receipt. Any attendant whose average fill weight trends below 97% of rated capacity over a rolling week is flagged for supervisor review.

CYLINDER EXCHANGE — EMPTY-FOR-FULL SWAP

Exchange is the transaction that actually moves the deposit liability. Get this SOP wrong and either the balance sheet fills up with phantom deposit liabilities that never get relieved, or Best Gas gives away steel for free.

5.1 FIRST-TIME EXCHANGE (NO PRIOR DEPOSIT ON FILE)

1. New customer has no empty cylinder to hand over. A refundable **cylinder deposit** is collected in addition to the gas price — this is the price of the steel, not revenue.
2. System creates a deposit record against the customer's ID/mobile number and the specific cylinder serial issued, and posts the deposit liability.
3. The cylinder itself moves from FG-FULL-WH/FG-FULL-VAN to CUST-DEPOSIT at its full standard cost (steel + gas); only the gas component's cost clears to COGS.

First exchange, 12 kg butane, new customer		REF POS-220502 / CYL-SN-77410
1010	Cash / POS clearing (gas + deposit + VAT on gas)	306.52
4002	Revenue — cylinder exchange (gas component)	43.48
2410	VAT output payable (15%, on gas only — deposit is not a supply)	6.52
2210	Customer cylinder deposits — liability	256.52
5001	COGS — bulk gas consumed	16.56
1332	Cylinders with customers (steel, SAR 62.00)	62.00
1320	Full cylinders — warehouse/van (SAR 78.56)	78.56

VAT TREATMENT

The cylinder deposit is refundable and not consideration for a supply — output VAT applies to the gas price only, not the deposit. Confirm this treatment against current ZATCA guidance before go-live; do not extend it to non-refundable "cylinder sale" transactions (SOP for outright cylinder sale to industrial accounts is out of scope of this manual).

5.2 REPEAT EXCHANGE (CUSTOMER ALREADY HOLDS A DEPOSIT)

No deposit movement. Customer hands back an empty cylinder (any condition permitting — see damage clause below) and receives a full one; only the gas is charged. The specific serial on deposit changes in the register, but the deposit liability balance is untouched.

Repeat exchange, 12 kg butane		REF POS-220611
1010	Cash / POS clearing	50.00
4002	Revenue – cylinder exchange (gas component)	43.48
2410	VAT output payable	6.52
5001	COGS – bulk gas consumed	16.56
1330	Empty cylinders – warehouse/van (steel received back)	62.00
1301	Bulk LPG – butane, in storage	16.56
1332	Cylinders with customers (steel released)	62.00

5.3 DAMAGED CYLINDER RETURNED IN EXCHANGE

If the returned empty is damaged beyond economic repair, the driver/attendant flags it at the point of exchange via the app or POS. It is received into HOLD-COND instead of EMPTY-WH, and a **partial deposit top-up** is charged to the customer to restore the deposit to full replacement value — this keeps the deposit pool solvent against future refunds.

✓ CONTROL POINT • VAN 3-WAY MATCH

The Souq Gas app turns every delivery van into a moving branch. It must be the system of record for van sub-inventory, and it must reconcile back into Nana Financials every single day — not weekly, not "when someone notices a gap."

6.1 ORDER LIFECYCLE AND ITS INVENTORY/GL TRIGGER

APP STATUS	WHAT HAPPENS PHYSICALLY	INVENTORY EFFECT	GL EFFECT
Placed	Customer orders cylinder(s) or refill, pays or selects COD	None	If prepaid: credit to wallet liability 2211 or card authorisation held
Confirmed	Nearest branch/van allocated by app dispatch engine	Soft-allocation (reserved, not moved)	None
Loaded	Driver scans cylinders onto van at start of shift	Transfer FG-FULL-WH → FG-FULL-VAN	None (intra-inventory transfer)
Delivered	Driver scans cylinder off at customer door, captures e-POD (OTP/signature)	Relieve FG-FULL-VAN; if exchange, receive empty to EMPTY-VAN or deposit to CUST-DEPOSIT	Revenue + COGS recognised at this event, not at "Placed"
Failed / Refused	Customer unavailable or refuses delivery	Cylinder stays on van, re-queued for redelivery or return to warehouse	Reverse any soft revenue accrual; refund wallet if prepaid
Settled	End-of-day driver settlement	Van stock counted and reconciled to warehouse	Cash/POS batch posted; variances routed per 6.3

REVENUE RECOGNITION POINT

Revenue is recognised on **Delivered** (goods/gas transferred to customer control), not on **Placed** (payment received) or **Loaded** (stock left the warehouse). Prepaid app orders sit in the Souq Gas wallet liability 2211 until delivery clears them to revenue.

6.2 DRIVER / VAN AS A MOBILE BRANCH — DAILY CYCLE

- 1. Load-out (start of shift):** Warehouse Keeper and driver jointly scan every cylinder loaded — full cylinders by serial, count confirmed on both the app and the warehouse WMS screen before the gate log closes.
- 2. Route execution:** each delivery scans a full cylinder off, and (for exchanges) an empty cylinder on. Cash-on-delivery payments are captured in-app (card reader / QR wallet) — cash is the exception, not the default, specifically because cash is what disappears.
- 3. End-of-shift settlement:** driver returns to warehouse; remaining full cylinders, collected empties, and any damaged returns are scanned back in. The app closes the shift and produces a settlement sheet: *loaded – delivered = expected remaining*, compared to *actual scanned remaining*.
- 4. Cash reconciliation:** physical cash collected is counted and banked same day; the app's recorded COD cash total must match the bank deposit slip.

6.3 THE THREE-WAY MATCH & VARIANCE HANDLING

Every shift is closed only when three independent records agree: the **app delivery log** (what the driver says happened), the **warehouse gate scan** (what physically left and returned), and the **GL posting batch** (what Nana Financials recorded). A mismatch in any leg blocks shift close-out and routes to Inventory Control.

VARIANCE TYPE	THRESHOLD	ACTION
Cylinder count shortage (van vs. app log)	0 tolerance for full cylinders	Investigate same day — driver statement required
Cash variance vs. app COD total	> SAR 25 or > 1% of shift cash, whichever is lower	Supervisor review ; repeat variances escalate to HR
Empty cylinder return shortfall	> 2% of exchanges on the route	Log & monitor ; may indicate customers substituting non-Best-Gas cylinders
Unexplained shortage, any category, after investigation	—	Written off to 5004 with Finance Manager approval

6.4 PAYMENT METHODS & POSTING

The app supports cash on delivery, card on delivery, and a **Souq Gas wallet** (customer pre-loads balance). Wallet top-ups post as a liability (2211), not revenue, until consumed against an actual delivery — treat it exactly like a gift-card/prepaid balance, because that is what it is.

EMPTY CYLINDER RETURN & DEPOSIT REFUND

A customer who stops buying gas is entitled to their deposit back — this is the mirror image of SOP-05, and the SOP most likely to be neglected once a customer stops generating revenue.

7.1 REFUND PATHS

SCENARIO	CYLINDER CONDITION	REFUND
Customer returns cylinder, closes account, no replacement	Good condition	Full deposit refunded; steel moves CUST-DEPOSIT → EMPTY-WH
Customer returns cylinder, closes account	Damaged	Deposit refunded net of repair/scrap cost per the damage schedule
Customer switches from exchange to refill-only (keeps owning the cylinder)	n/a	No refund — cylinder is now the customer's; steel moves CUST-DEPOSIT → written off deposit register, deposit liability closed against the same steel value
Cylinder unclaimed / customer unreachable beyond policy period	n/a	Deposit forfeited to income after 24 months of inactivity and documented recovery attempts — see 7.2

7.2 UNCLAIMED DEPOSIT POLICY (MONTH-END RELEVANT)

Deposits are not "free money" just because a customer disappears. Best Gas's policy: a deposit is eligible for forfeiture recognition only after **24 months** of account inactivity, three documented contact attempts, and Finance Manager sign-off — booked as other income, not netted against COGS or revenue.

Forfeiture of dormant deposit, 12 kg cylinder		REF DEP-FORFEIT-Q3-014
2210	Customer cylinder deposits – liability	61.90
4009	Deposit forfeiture income	61.90

SOP-08

CONTROL & CLOSE

PHYSICAL CYLINDER COUNT & PERPETUAL RECONCILIATION

Cylinders are inventory scattered across warehouses, vans, branch counters, and thousands of customer homes at once. Counting them is not one event — it's four different count methods stitched together.

LOCATION	METHOD	FREQUENCY
Central warehouse (full & empty)	Full physical count, blind count sheet vs. system	Monthly
Delivery vans	QR scan reconciliation at every shift close (SOP-06)	Daily, sampled audit weekly
Branch counters	Cycle count, rotating subset of SKUs	Weekly
Cylinders with customers (CUST-DEPOSIT)	Register reconciliation — deposit ledger count vs. cylinders-issued-minus-cylinders-returned, <i>not</i> a physical count	Monthly, tie to deposit liability balance
Condemned holding	Full physical count against scrap certificates issued	Monthly, pre-close
Full network, all locations	Complete physical count, all SKUs, all locations	Annual

8.1 THE IDENTITY THAT MUST HOLD

RECONCILIATION IDENTITY

Cylinders issued to date = On hand (warehouse + van + branch) + With customers (deposit register) + Condemned/scrapped + Unexplained variance. The unexplained variance line should be zero, or shrinking. If it's growing month over month, that is the earliest possible warning of theft, unrecorded scrap, or customers walking off with cylinders without a deposit ever being charged.

8.2 VARIANCE WRITE-OFF APPROVAL MATRIX

VARIANCE VALUE (PER COUNT CYCLE)	APPROVAL REQUIRED
Up to SAR 5,000	Inventory Controller
SAR 5,001 – 25,000	Finance Manager
Above SAR 25,000	CFO, with root-cause report attached

SOP-09

CONTROL & CLOSE

MONTH-END CLOSE — LPG INVENTORY

A checklist, in the order Finance actually runs it, from last delivery of the month to trial balance lock.

#	STEP	OWNER	DUE
1	Cut off deliveries and receipts at 23:59 last calendar day; ensure all Souq Gas app shifts for the month are settled (SOP-06)	Ops + IT	Day 0
2	Bulk gas physical dip vs. book quantity by tank; post variance to 5002	Plant Manager	Day 1
3	Warehouse & branch cylinder counts consolidated; variances within threshold auto-cleared, others routed per SOP-08	Inventory Controller	Day 1-2
4	Deposit liability aging report run; identify accounts crossing the 24-month dormancy threshold for forfeiture review	Finance Analyst	Day 2
5	Weighted-average gas cost recalculated for the month; standard cylinder cost reviewed against last revaluation (annual, unless a raw-material shock warrants an interim update)	Cost Accountant	Day 2
6	Slow-moving/obsolete cylinder provision reviewed — cylinders idle > 12 months in EMPTY-WH flagged for inspection or scrap	Inventory Controller	Day 3
7	VAT output reconciled: refill/exchange gas sales vs. VAT ledger; confirm deposits excluded from taxable base; e-invoice submission log matched to ZATCA portal acknowledgements	Tax Accountant	Day 3
8	Van cash variances and cylinder shortages from the month reviewed for write-off per approval matrix (SOP-08.2)	Finance Manager	Day 3
9	Inventory sub-ledger (bulk + WIP + full + empty + deposit + condemned) reconciled to GL control accounts — must tie to the cent	Cost Accountant	Day 4
10	Management pack: KPI dashboard (see below) refreshed and circulated ahead of close meeting	FP&A	Day 4
11	Trial balance lock	Finance Manager	Day 5

SOP-10

CONTROL & CLOSE

SEGREGATION OF DUTIES

No single role should be able to create a cylinder, move it, sell it, and count it. The matrix below is the backbone that makes SOP-01 through SOP-09 trustworthy.

ACTIVITY	DRIVER	BRANCH CASHIER	WAREHOUSE KEEPER	FILLING SUPERVISOR	INVENTORY CONTROLLER	FINANCE MANAGER
Bulk gas GRN posting	—	—	—	R	C	A
Filling batch release to stock	—	—	I	R	A	I
Cylinder condemnation / scrap	—	—	C	R	A	I
Refill / exchange sale (POS)	R	R	—	—	I	—
Van load-out / settlement (SOP-06)	R	—	A	—	C	I
Deposit refund approval	—	R	—	—	C	A
Deposit forfeiture (dormant)	—	—	—	—	R	A
Physical cylinder count sign-off	C	C	R	—	A	I
Variance write-off > SAR 5,000	—	—	—	—	C	A

R = Responsible, A = Accountable, C = Consulted, I = Informed, — = No role.

KPI

REPORTING

KPIS FINANCE SHOULD WATCH WEEKLY

KPI	FORMULA	WHY IT MATTERS
Empty-to-full ratio, network-wide	Empty cylinders on hand ÷ full cylinders on hand	Rising ratio signals a filling-capacity bottleneck or a return-logistics problem
Cylinder velocity	Exchanges per cylinder serial per month	Idle cylinders are trapped working capital — chase the long tail
Deposit liability outstanding	Sum of 2210 balance	Should track cylinders-with-customers × unit deposit value; drift signals a reconciliation gap
Filling shrinkage %	Gas lost ÷ gas throughput, per shift	Early warning for leaks and safety incidents, not just cost
Van cash/stock variance rate	Shifts with any variance ÷ total shifts	Directly tied to driver integrity and app scan discipline
Souq Gas GMV share	App-originated sales ÷ total sales	Tracks channel shift; app orders carry lower cash-handling risk
Condemned rate	Cylinders scrapped ÷ average cylinders in circulation	Feeds the cylinder replacement capex/inventory-purchase forecast

A.1 GLOSSARY

Exchange	Sale where the customer hands back an empty cylinder and receives a full one; only gas is charged if a deposit is already on file.
Refill	Sale where the customer's own cylinder is filled in place or handed over empty and returned full; no deposit movement.
Deposit	Refundable liability held against a cylinder's steel value while it is physically with a customer.
Tare / gross weight	Empty cylinder weight / filled cylinder weight — the difference is billable gas.
CUST-DEPOSIT	Memo inventory location representing cylinders physically at customer sites but still on the Best Gas balance sheet.
Souq Gas wallet	Customer prepaid balance in the app; a liability until consumed against a delivered order.

A.2 FORMS & SYSTEM ARTEFACTS REFERENCED

- Goods Received Note (GRN) — bulk gas receipt
- Filling batch release / QC certificate
- Cylinder destruction certificate (scrap)
- Souq Gas driver shift settlement sheet
- Deposit account statement (per customer)
- Monthly cylinder count & variance report
- VAT / ZATCA e-invoice submission log

A.3 REVISION HISTORY

VERSION	DATE	CHANGE
1.0	2026-08-07	Initial draft issued for Finance & Operations review